

downside scenario, and holders who had been attracted to its safety and investment-grade rating and lacked any mandate or expertise in distressed investing. They stampeded for the exit, forcefully selling for whatever they could get. Suddenly bonds traded at prices below the value of the aircraft that served as collateral—sometimes even below their scrap value! Under a specific section of the bankruptcy code, bondholders could—as in the old railroad equipment bonds—repossess or threaten to repossess the aircraft, thereby gaining considerable leverage over the estate and other creditors while securing the ability to realize the bonds' intrinsic value.

It was a textbook Graham and Dodd setup, the mother of all value investments. United, the largest EETC issuer, stayed in bankruptcy for over three years, during which I scrambled to become an airline and aircraft expert. Until then, my knowledge of the industry consisted of buying a ticket, preferably in business class. By the time United emerged from its bankruptcy, Northwest and Delta were getting ready to file and provide new investment opportunities. Aircraft and airline bonds had developed into a profitable mainstay of our fund, and I had become a portfolio manager.

Now, it will come as a shock to my admirers, but I've had lousy investments in my days. A good many could have been avoided with a careful rereading of *Security Analysis*. One is particularly searing. Years after my first airline investment, I sought to expand my success in airlines to shipping: both transportation businesses with a high fixed-cost structure and volatile input (fuel), supported by long-life assets that can be traded worldwide, and first mortgage debt that could sometimes be purchased at a discount—how different could it be? Not at all, it turned out, except for the minus instead of the plus sign in front of my return. Financiers of ships do not benefit from the same ability to seize their collateral upon a default or a bankruptcy. First, it is exceedingly difficult to arrest a vessel. Second, even first lien debt is